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AS AMENDED

By: Hill, Deck, and Menz of the
House

Thompson of the Senate

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1 The qualifying salary of above-the-line personnel shall not comprise
2 more than twenty-five percent (25%) of total expenditures as defined
3 in paragraph 5 of this section. For purposes of this paragraph,
4 "Oklahoma-based" means a company or individual with an Oklahoma
5 income tax requirement;

6 2. "Apprentice" means a person who works for a skilled or
7 qualified person in order to learn a trade or profession for an
8 agreed-upon period of time. An apprentice may work in any of the
9 trades recognized by the Oklahoma Department of Commerce as
10 necessary for a film production. An apprentice shall be required to
11 complete safety training appropriate for the duties to be performed
12 in connection with a qualified project and also to complete a course
13 related to and with the objective of preventing workplace
14 misbehavior, such as bullying and sexual harassment;

15 3. "Crew" means any person who works on preproduction,
16 principal photography and post-production, with the exception of
17 above-the-line personnel;

18 4. "Eligible television series" means a project if either
19 seventy-five percent (75%) of the series season is filmed within the
20 state or, for an episodic television pilot, ~~if more than seventy-~~
21 ~~five percent (75%) of the pilot is filmed within the state;~~

22 5. "Expenditure" or "production cost" includes but is not
23 limited to:
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- 1 a. wages or salaries of persons who are residents of this
2 state or who are enrolled as full-time students at a
3 college or university located in the state offering an
4 undergraduate degree program or an Oklahoma Career
5 Tech Certification Program or who are on active
6 military duty and stationed in Oklahoma or involved in
7 a restorative workforce program and who have earned
8 income from working on a film in this state including
9 payments to personal services corporations with
10 respect to the services of qualified performing
11 artists, pursuant to the provisions of the Internal
12 Revenue Code, 26 U.S.C., Section 62(a)(2),
- 13 b. the cost of construction and operations, wardrobe,
14 accessories and related services,
- 15 c. the cost of photography, sound synchronization,
16 lighting and related services,
- 17 d. the cost of editing and related services,
- 18 e. rental of facilities and equipment,
- 19 f. other direct costs of producing a film, and
- 20 g. the wages and salaries of persons who are defined and
21 registered as an Oklahoma Expatriate by the Oklahoma
22 Film and Music Office;

23 6. "Film" means a professional single media, multimedia program
24 or feature, which is not child sexual abuse material as defined in

1 subsection A of Section 1024.1 of Title 21 of the Oklahoma Statutes
2 or obscene material as defined in paragraph 1 of subsection B of
3 Section 1024.1 of Title 21 of the Oklahoma Statutes including, but
4 not limited to, animation, commercials, documentaries, feature
5 films, game shows, pilots, reality television, scripted television,
6 talk shows, national advertising messages that are broadcast on a
7 national affiliate or cable network, fixed on film or digital video,
8 which can be viewed or reproduced and which is exhibited in
9 theaters, licensed for exhibition by individual television stations,
10 groups of stations, networks, cable television stations or other
11 means or licensed for home viewing markets. The term shall also
12 include filming for interactive and video gaming including, but not
13 limited to, green screen, motion capture and similar production
14 techniques;

15 7. "Live audience episodic television" means episodic
16 television filmed in front of a live audience intended for broadcast
17 on network television, cable and streaming platforms. The audience
18 should consist of a minimum of fifty (50) people;

19 8. "Loan-out corporation" or "loan-out company" means a
20 corporation or limited liability company actively registered with
21 the Oklahoma Secretary of State to do business in this state as a
22 foreign or domestic entity used by above-the-line personnel and crew
23 to report payments received from the production as Oklahoma earnings
24 for the personnel or crew member;

1 9. "Multi-film deal" means a project in which a production
2 company films at least seventy-five percent (75%) of main crew
3 principal photography for three (3) or more films in this state
4 within three (3) years or where the third film starts main crew
5 principal photography within the three-year period;

6 ~~8.~~ 10. "Nonresident crew member" means a person who is not an
7 Oklahoma resident, hired for a qualifying production project
8 occurring within the state and who is subject to the payment of
9 Oklahoma employment taxes;

10 ~~9.~~ 11. "Production company" means a person, producer or company
11 who produces film for exhibition in theaters, on television or
12 elsewhere;

13 ~~10.~~ 12. "Qualified production expenditure amount" means an
14 expenditure defined pursuant to paragraph 5 of this section; and

15 ~~11.~~ 13. "Qualified soundstage facility" means a state-certified
16 industry standard soundstage facility having not less than seven
17 thousand five hundred (7,500) square feet of combined soundstage
18 space and with a total state rental cost to the production company
19 equal to at least three percent (3%) of the qualifying Oklahoma
20 expenditures with respect to a production.

21 SECTION 2. AMENDATORY 68 O.S. 2021, Section 3633, is
22 amended to read as follows:

23 Section 3633. A. There is hereby created an incentive rebate
24 program for certain film projects and eligible television series

1 projects filmed or produced in Oklahoma who meet the requirements of
2 this act.

3 B. The rebate program shall be administered by the Oklahoma
4 Department of Commerce and the Oklahoma Tax Commission.

5 C. By October 1 of each year, the Oklahoma Department of
6 Commerce shall submit an annual report to the Speaker of the House
7 of Representatives, the President Pro Tempore of the Senate, the
8 Chair of the Appropriations and Budget Committee of the House of
9 Representatives, the Chair of the Appropriations Committee of the
10 Senate and the Director of the Legislative Office of Fiscal
11 Transparency detailing the program and incentive rebate payments.

12 D. The Oklahoma Department of Commerce and the Oklahoma Tax
13 Commission may promulgate rules to implement the provisions of this
14 act.

15 E. To be eligible for a rebate payment a production company
16 shall:

17 1. Submit an application and documentation to the Oklahoma
18 Department of Commerce as required by the Department;

19 2. Have filed any Oklahoma tax returns and tax documents
20 required by law;

21 3. Provide evidence that all Oklahoma crew and local vendors
22 have been paid and that there are no pending liens against the
23 production company in this state;

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1 4. Provide evidence of financing for production prior to the
2 commencement of principal photography;

3 5. Provide evidence of a certificate of general liability
4 insurance with a minimum coverage of One Million Dollars
5 (\$1,000,000.00) and a workers' compensation policy in compliance
6 with law, which shall include coverage of employer's liability; ~~and~~

7 6. Provide evidence, as required by the Department, that the
8 projects pursuant to this act are completed; and

9 7. The production company, or its payroll service provider,
10 shall withhold Oklahoma income tax at the highest percentage rate
11 found in the withholding statutes, on all payments to loan-out
12 companies for services performed in Oklahoma. The amounts so
13 withheld shall be allocated to the loan-out company's employees
14 based on the payments made to the loan-out company's employees for
15 services performed in Oklahoma. The loan-out company employees
16 performing services in Oklahoma shall be considered taxable and the
17 loan-out company shall be subject to income taxation in the taxable
18 year in which the loan-out company's employees perform services in
19 Oklahoma.

20 F. A production company shall not be eligible to receive both a
21 rebate payment pursuant to the provisions of this act and an
22 exemption from sales tax pursuant to the provisions of paragraph 23
23 of ~~section~~ Section 1357 of Title 68 of the Oklahoma Statutes. If a
24 production company has received the exemption from sales taxes and

1 submits a claim for rebate pursuant to the provisions of this act,
2 the company shall be required to fully repay the amount of the
3 exemption to the Tax Commission. A claim for a rebate shall include
4 documentation from the Tax Commission that repayment has been made
5 as required in this subsection or shall include an affidavit from
6 the production company that the company has not received an
7 exemption from sales tax pursuant to the provisions of paragraph 23
8 of Section 1357 of Title 68 of the Oklahoma Statutes.

9 G. The Department of Commerce shall approve or disapprove all
10 claims for rebate and shall notify the Tax Commission subject to the
11 limitations set forth in Section 4 of this act. Upon notification
12 of approval from the Department, the Commission shall issue payment
13 for all approved claims from funds held in the Filmed in Oklahoma
14 Program Revolving Fund created pursuant to Section 9 of this act and
15 subject to the limitations set forth in Section 4 of this act. If
16 the amount of approved claims exceeds the balance of the revolving
17 fund, payments shall be made in the order the claims are approved by
18 the Department. If an approved claim is not paid in whole, the
19 unpaid claim or unpaid portion of the claim shall be paid upon the
20 availability of funds.

21 SECTION 3. AMENDATORY 68 O.S. 2021, Section 3637, is
22 amended to read as follows:

23 Section 3637. To qualify for the maximum twenty percent (20%)
24 base incentive payment authorized for Oklahoma production projects

1 pursuant to subsection A of Section 5 of this act, the production
2 project shall utilize the services of apprentices according to the
3 following requirements:

4 1. For a production with Oklahoma expenditures of Seven Million
5 Five Hundred Thousand Dollars (\$7,500,000.00) or less, two (2)
6 apprentices;

7 2. For a production with Oklahoma expenditures greater than
8 Seven Million Five Hundred Thousand Dollars (\$7,500,000.00) and
9 Fifteen Million Dollars (\$15,000,000.00) or less, four (4)
10 apprentices;

11 3. For a production with Oklahoma expenditures greater than
12 Fifteen Million Dollars (\$15,000,000.00) and Twenty-five Million
13 Dollars (\$25,000,000.00) or less, eight (8) apprentices; and

14 4. For a production with Oklahoma expenditures greater than
15 Twenty-five Million Dollars (\$25,000,000.00), sixteen (16)
16 apprentices.

17 SECTION 4. NEW LAW A new section of law to be codified
18 in the Oklahoma Statutes as Section 3642 of Title 68, unless there
19 is created a duplication in numbering, reads as follows:

20 Every fiscal year the program shall designate Thirty-five
21 Thousand Dollars (\$35,000.00) from the top tier for the purpose of
22 economic impact reviews of the program.

23 SECTION 5. This act shall become effective July 1, 2025.
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1 SECTION 6. It being immediately necessary for the preservation
2 of the public peace, health or safety, an emergency is hereby
3 declared to exist, by reason whereof this act shall take effect and
4 be in full force from and after its passage and approval.

5 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS
6 April 16, 2025 - DO PASS AS AMENDED
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